

EXPERT TAKE

FOLLOW THE MONEY

Is China's Surplus Really Shrinking?

Look past the gold imports, and China's trade surplus is still climbing.

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Brad W. Setser

CFR EXPERT

Whitney Shepardson Senior Fellow

The Economist is now arguing that China's trade surplus has peaked.

That is a strange argument, as the “real” (price-adjusted) trade surplus is still growing. Net exports have contributed positively to China's growth in Q1 and Q2.*

But it also isn't an argument that stands up too much scrutiny. It goes away with a single adjustment.

Chip prices are up, and China imports a ton of chips.

Read the full article here.

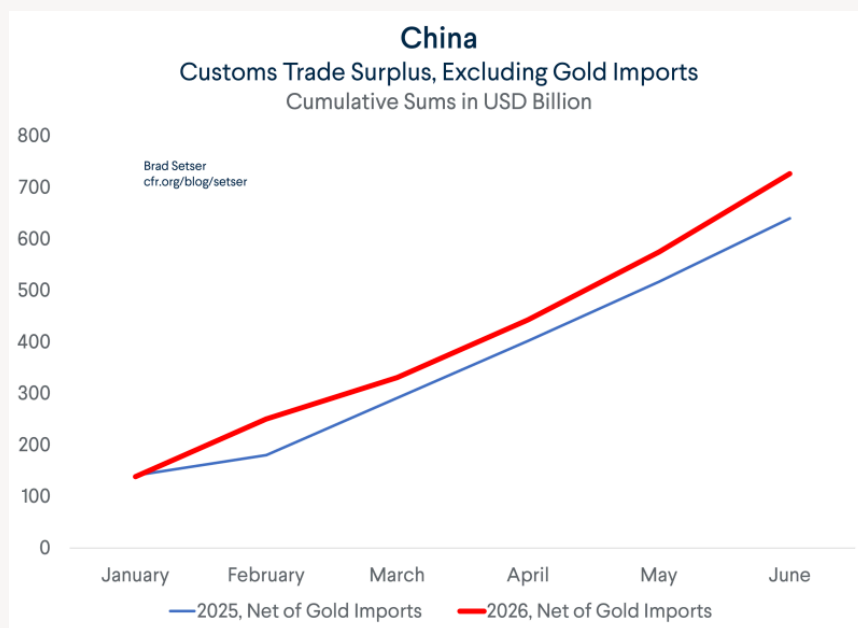


exports of chips are up almost as much as its imports.

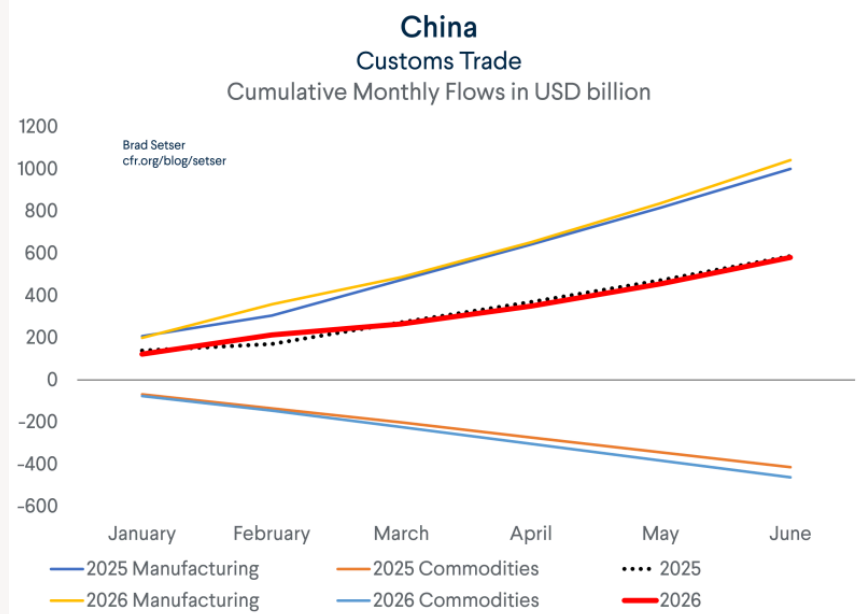
China imports a lot of oil but that too isn't the needed adjustment. The price of oil imports is up but import volumes have famously collapsed; the commodity import bill is up, but only modestly.

The critical adjustment is to net out imports of gold—year-to-date imports in 2026 are \$146 billion, nearly \$100 billion above the 2025 H1 total. In q2, gold imports were an incredible 1.5 pp of GDP, so the gold deficit now exceeds

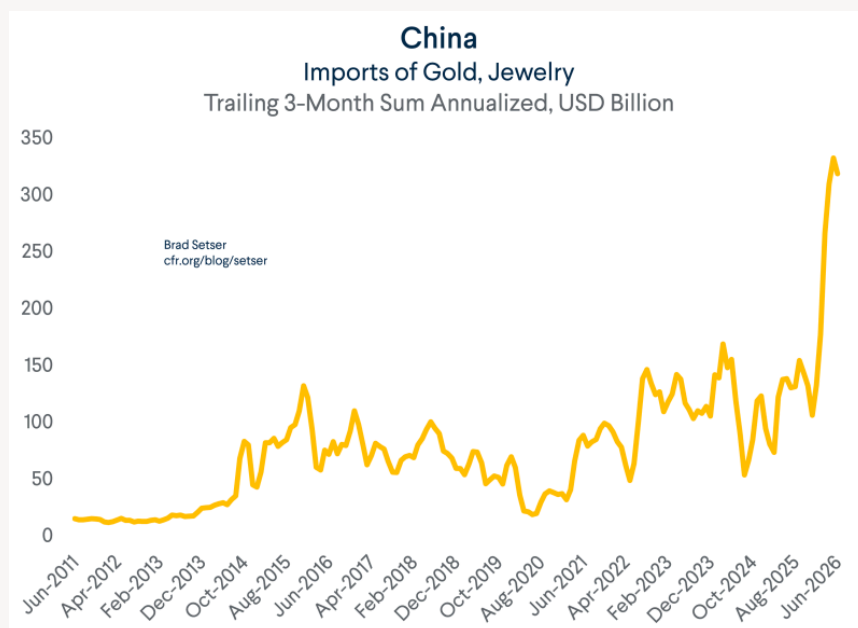
Without that import surge, the overall goods trade surplus would be up by over \$80 billion in the first half of 2026.



Yes, there are changes in the commodity balance and the manufacturing balance too. See the “raw” numbers from China’s customs, which haven’t been adjusted for gold.



But gold is the critical adjustment to the headline number, not chips or oil (to my surprise to be honest).** The surge in imports, over a period when gold prices are down, has been massive.

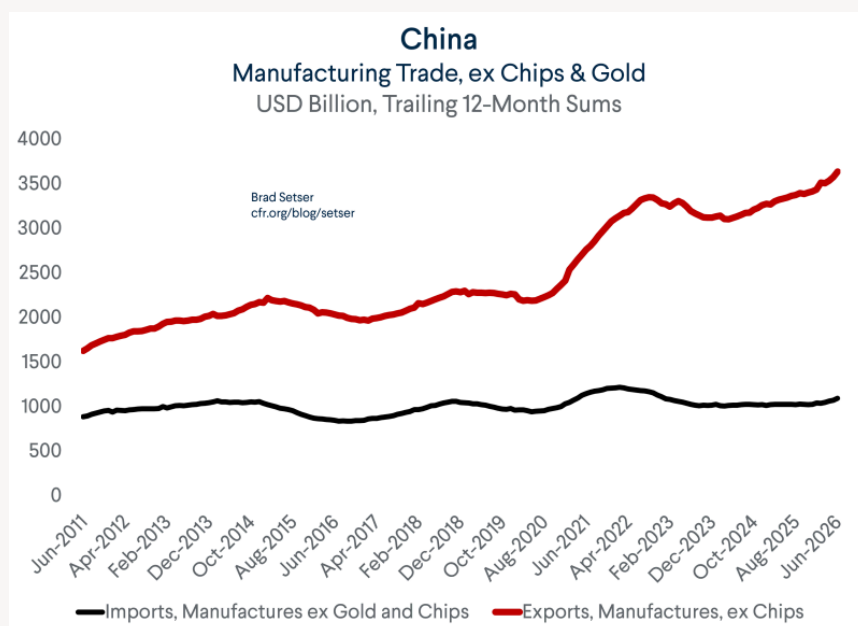


Facts are pesky things.



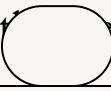
The underlying Chinese surplus is still heading up, just as the underlying U.S. deficit is now expanding (because of “AI”/ data center investment and a big fiscal deficit).***

The easiest way to see this is to look at Chinese trade in manufactures excluding chips and excluding gold (refined gold is classified as a manufacture, the commodity is gold rich ores).



Exports are up. This shouldn't be a surprise: auto exports are absolutely booming, and imports are still flat.

This isn't to say that chips aren't important—China runs a deficit there, and that deficit expanded just a bit.

But the main driver of the increase in China's reported manufactured imports was  in chip

prices, which has clearly been huge, and that factor also inflates exports.

And all this is more dramatic when examined in higher frequency numbers. Without the surge in gold imports the overall surplus would have been up significantly in the second quarter even with the (big) rise in chip prices.



There is a secondary point here.

Chinese import and export prices didn't move much in the first quarter, and then jumped in the second quarter. China's statistical authorities were slow to recognize the "chip" shock and the broad impact of higher memory chip prices in particular.



This did end up distorting China's import and export volume data in the first quarter (if the dollar value of trade rises and import and export prices don't rise, statistically there is an increase in the volume of trade).

This reduced China's reported Q1 growth (the net export contribution should have been bigger). And because gold is in the Q2 data in a big way (offsetting the fall in oil imports), true import in Q2 were likely overstated... and that pulled down reported growth a bit as well.

All these adjustments though are complex. The easiest way to see what is happening is just to focus on the manufacturing surplus without gold and chips. It keeps on rising.

In fact, without the 1.5 pp of GDP in gold imports in q2, the goods surplus would be close  of GDP --

an absolutely massive number for an economy as big as China.

The trend is clear. Too bad the financial press missed it.***

*The NX contribution, which is the change in the “real” trade surplus, was +0.8 pp of GDP in Q1 and +0.9 pp of GDP in Q2.



** The composition of China's imports has evolved rapidly in the last few months. The chip price surge has had a huge impact. So I was expecting it to have a bigger impact on the "net" than what actually shows up in the numbers. This is a case where rigorous analysis that decomposes both exports and imports is needed.



*** The 2025 U.S. trade data also needs to be gold-adjusted, by the way. The threat of tariffs had a huge impact on the Q1 data, and reversal of the flood of imported gold bars (which are in manufactures...) was a big reason for the relatively low U.S. trade deficit in Q4 and Q1.

**** The rapid increase in auto export volumes, both globally and with respect to Europe, should have given the Economist pause before it embraced the arguments of Adam Wolfe of Absolute Strategy Research. Too many China analysts are trying to obscure what should be obvious: China continues to rely heavily on exports for growth.

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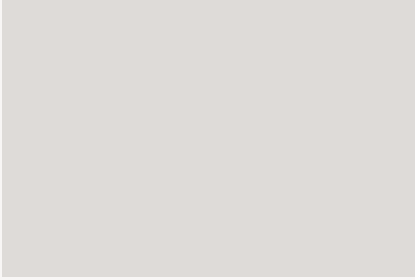
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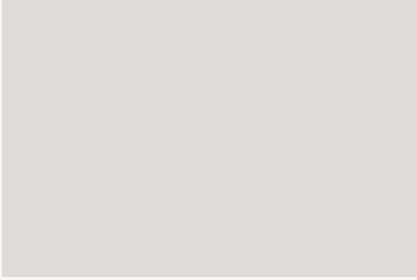




Trump administration's dealing
in companies is on shaky ground

By Laura Taylor-Kale

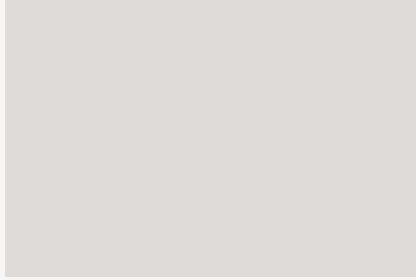
July 27, 2026



China Now Outranks the
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Favorability. What Happened?

By Yanzhong Huang

July 27, 2026



Why China Isn't Pushing
Its Cleantech Advantage
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By David M. Hart

July 23, 2026

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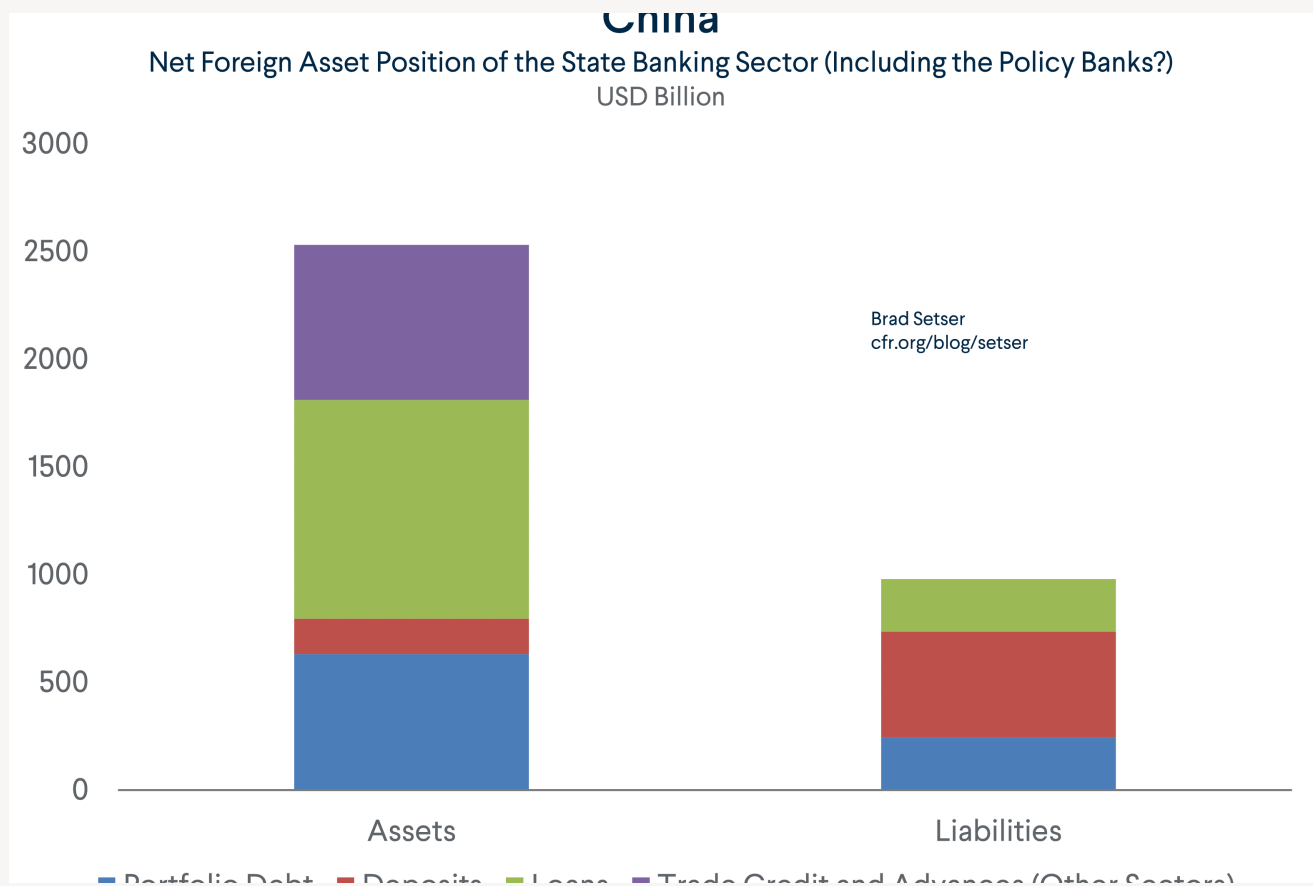


EXPERT TAKE

FOLLOW THE MONEY

China's New and "Improved?" BOP Data

China promised a better balance of payments report. What it delivered instead is a set of implausible numbers that deserve a closer look from the IMF.



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July 14, 2026 1:24 p.m.



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CFR EXPERT

Whitney Shepardson Senior Fellow

China released its “improved” balance of payments data for the first time at the end of the first quarter.

It isn’t much of an improvement. If I was an external referee, I would argue that the IMF should ask China to revise and resubmit.

In theory, China was going to provide a bit more of a breakdown of its investment income returns. And it did provide a line item for its Q1 FDI returns (\$30 billion, a 3.3 percent implied return), as well as its non-FDI returns (\$36.5 billion, which works out to a return of under 2 percent on China’s non FDI assets; SAFE managed 3 percent in the low for long era from 2011 to 2020).

The new and improved data was also supposed to break out its portfolio investment and banking data (“Other”) by sector.

That breakdown is comically bad.

“Portfolio equity, government” is usually where the foreign equity investments of sovereigns are

reported. It is here where, for example, Singapore's Government Investment Corporation enters the data. And where Korea's massive National Pension Service enters the data. And where Norges Bank Investment Management enters the data.

Yet China reported a zero.

That is obviously false. The CIC reported \$451 billion in “foreign “Financial assets at fair value through profit or loss” at the end of 2024—it obviously has an equity book. And most people think China's \$400 billion plus National Social Security Fund (the analogue to Korea's National Pension Service) has a modest foreign portfolio. Zero is clearly not the right number.

Consider loans under “Other investment.”

\$1.015 trillion of the total \$1.030 trillion in loans were from “deposit-taking corporations.”

That makes sense, you might think, as banks take in deposits and make loans.

Except two of China's biggest lenders—the China Development Bank (CDB) and Export-Import Bank of China (China Exim)—aren't “deposit-taking corporations.” The policy banks raise funds by selling bonds to the market -- and of course that includes selling bonds to the “deposit-taking corporations.”



The total here also doesn't line up with other data sources.

For example, the foreign currency sources and uses table for the state commercial banks that the PBOC publishes monthly reports \$409 billion in foreign currency loans.

That leaves up to \$600 billion for RMB-denominated loans, or potentially for the CDB and Exim if China bundled their external lending with the state banks (presumably the policy banks should be a line item under "other financial institutions" but that is clearly not what China did for "loans").

Now look at "Trade credit and advances":

China reports \$720 billion in total credit credit assets. Zero though come from the banks (hmmm) and all are in "Other sectors"—that has to be Exim (most of it is short-term as well, \$706 billion of the whole \$720 billion).

The thing here is that everyone who has worked on frontier market restructurings or looked at China's external lending—say, to Zambia, Sri Lanka, or Ecuador—knows that Exim and the CDB provided a lot of credit to these countries. To Angola and Venezuela too.

So, it isn't really plausible that all the long-term loans are from deposit-taking corporations (the policy

banks) and all the trade credit is short-term and from

“other financial institutions” (though China didn’t do any breakdown of “Other” in its reporting...)

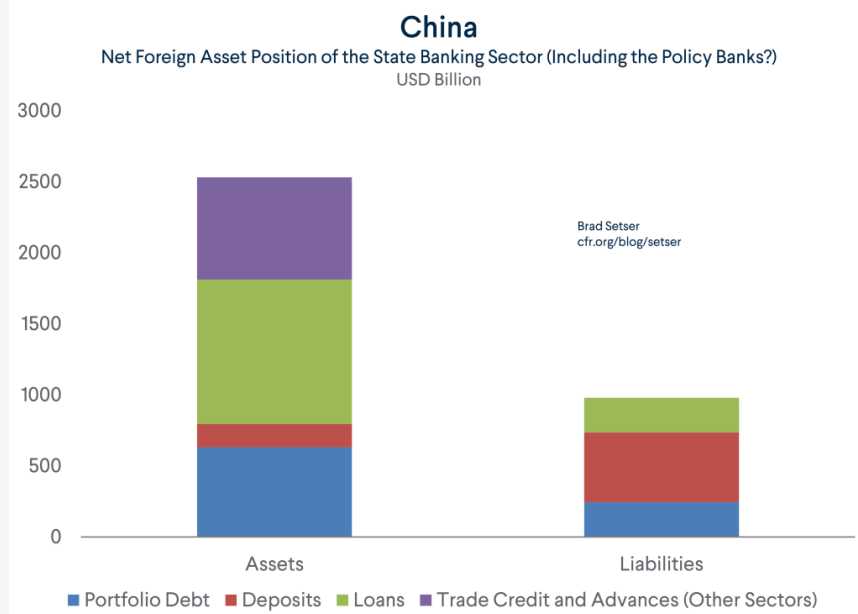
In fact, China’s disclosure here is so obviously incomplete that the IMF should send it back and ask China to resubmit with some real numbers.

The IMF statistics department likes to say that it doesn’t judge the quality of its members’ data. That has been its excuse for not challenging the results of China’s “survey-based” methodology for calculating the transfer of value tied to “exports” in the current account.*

In this case, China clearly didn’t make much of an effort to produce real numbers. Bad reporting is almost worse than incomplete reporting.

The available disclosure did let me estimate the net foreign asset position of the deposit taking institutions and the policy banks in the NIIP -- it is roughly \$1.5 trillion. But it would be nice to be able to break this out by the obvious regulatory categories that China uses -- namely the commercial banks and the policy banks. That was the point of the exercise, not getting obviously incomplete entries for the key line items.**





* The official position of the Bureau of Statistics is that China is correctly implementing its latest guidance note, unlike the U.S.—never mind the quarterly inconsistencies that have developed with the new methodology, and never mind that China cannot credibly explain the source of the gaps created between the current reported numbers and what the numbers would be under the old customs-based methodology.

** A number of emerging economies do produce good, detailed balance of payments data -- Korea, Brazil and Turkey all come to mind. All have very complete data, and all actually report monthly. China, with a very controlled financial account, should have a much easier time generating high quality data. The low quality of its latest disclosure will only add to the questions many have about the accuracy of China's external reporting.

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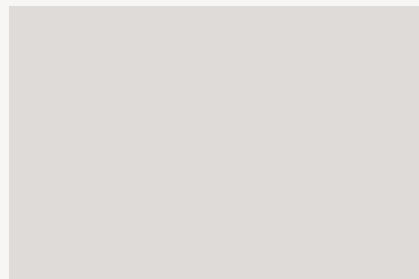


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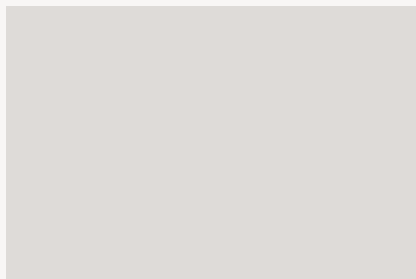
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China's Transnational Repression Is Being Met With a Deafening Silence

By Joshua Kurlantzick

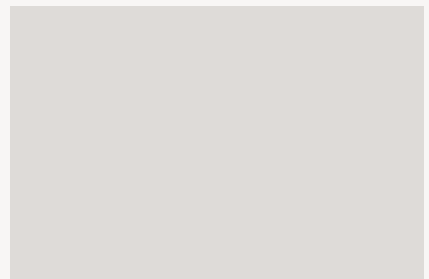
July 13, 2026



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By Max Boot

July 13, 2026



How the Coup Turned Myanmar Into Asia's Deadliest Conflict

By Joshua Kurlantzick

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EXPERT TAKE

FOLLOW THE MONEY

China's Customs-BOP Gap Is Not a Customs Problem

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CFR EXPERT

Whitney Shepardson Senior Fellow

This is a joint blog with Brian Peters, a former risk manager and supervision officer at the Federal Reserve Bank of New York.

There are two significant reasons why China's reported current account surplus (\$735 billion) is much smaller than its goods surplus (\$1.2 trillion), even after accounting for the ~\$200 billion services deficit.

The first is that China inexplicably reports a \$125 billion investment income deficit de



aving \$4

trillion in net foreign assets, even as Chinese interest rates are well below global interest rates. No one has been able to provide a credible explanation for this, including the IMF (see Box 1 of the 2025 External Sector Report— though no one in the official sector is yet willing to adjust China’s reported data to get rid of this gap.

The second is that China now reported a substantially smaller surplus in the goods account of the balance of payments than the goods surplus that is reported by China customs (GACC). This gap only really emerged after China introduced a new methodology for calculating the goods balance in the balance of payments in 2022 (now phased into the 2021 data). In theory, this new series should be an improvement—but China never really has been able to explain what it is doing and why the new methodology lowered the reported overall surplus rather than just shifting around the components of the balance of payments (the most complete explanation of China’s methodology is provided in Appendix VII of the IMF’s 2024 Staff Report).*

It is possible to replicate the methodology that China previously used to calculate the goods balance in its balance of payments, as it was a straightforward adjustment to the customs data. The gap between the surplus in the old data and in the new data was around \$150 billion in 2021, \$240 billion in 2022, and peaked at roughly \$260 billion in 2023, before

frequency dataset suggests a substantial fall to around \$150 billion in 2025.



This gap is not a rounding error; it is larger than most countries' current account balances. And it mechanically reduced the estimated undervaluation in the IMF's methodology by about 7 percent in 2025.

Three explanations have been put forward for the gap.

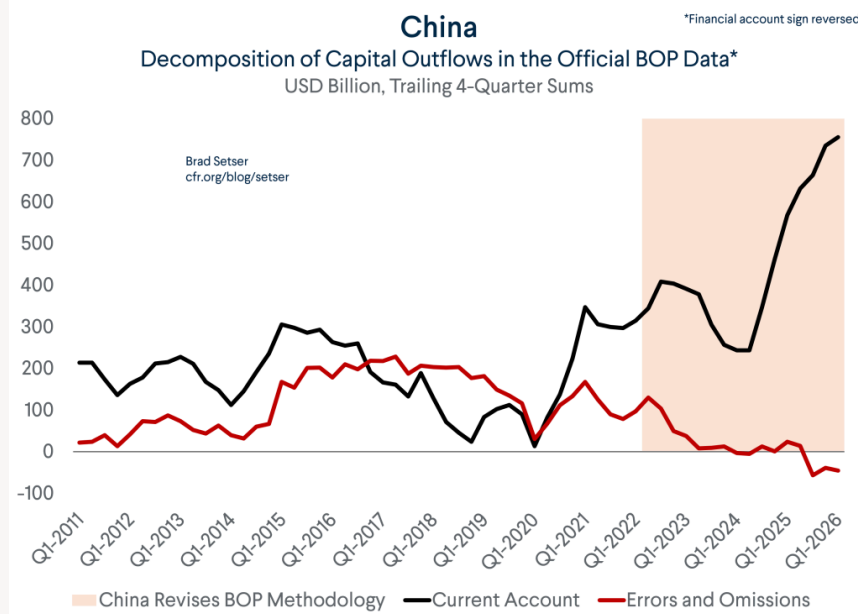
Chang Ma and Shang-Jin Wei have argued in a serious paper that customs likely overstates exports through VAT-refund fraud and understates imports through tariff evasion, and that once you adjust for those distortions, the new SAFE numbers are reasonable—while the SAFE downward adjustment doesn't stem from direct estimates of these forms of tax and tariff fraud. SAFE's adjustm

directionally right, as the customs surplus is overstated.

China's official line is narrower: SAFE points to bonded-warehouse and “factoryless”-production accounting, where goods that do not physically cross China's borders are nonetheless attributed to Chinese trade flows. It specifically argued two things—the foreign firms that use contract manufactures to produce goods in China for the Chinese market should enter into the balance of payments goods data even if the goods never cross a customs border (technically true), and that the customs price reported by contract manufactures on their exports to global firms overstated the amount they actually received for their output (an empirical question, and one where the available data doesn't support SAFE's claim that smart phone prices are overstated in the customs data).

An earlier post on this blog offered a third reading, which is that the timing and quarterly volatility of the customs-BOP gap are not consistent with either of those statistical-reclassification stories, and the residual is more plausibly being constructed inside the SAFE adjustment itself so as to reduce reported errors in the balance of payments data.



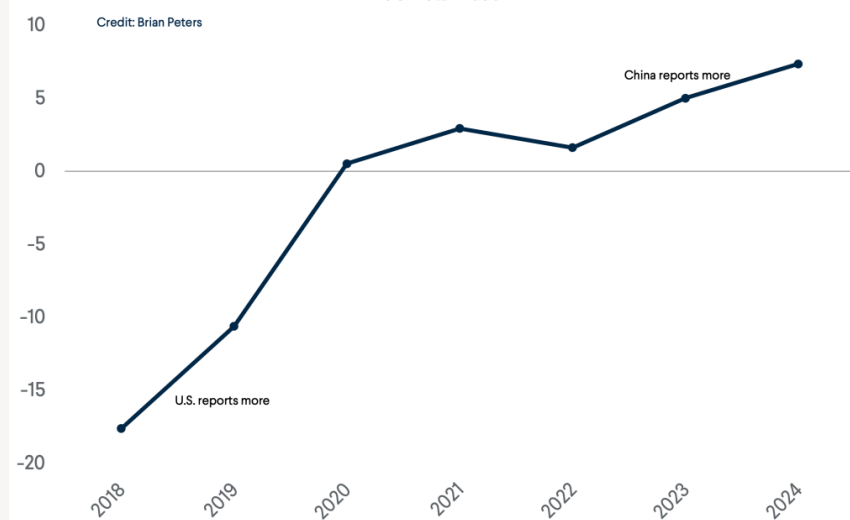


What we haven't had until recently is independent partner data to put the question on a different footing.

UN Comtrade provides exactly that. At least in principle, every dollar that leaves China's customs as an export to the United States is also recorded as a dollar of U.S. imports from China. The two numbers should agree, up to the standard valuation gap; China reports on an FOB basis, the U.S. records on a CIF basis with a small markup for transshipment and insurance. When the two diverge persistently, you have direct evidence that one side is misreporting, and you can usually tell which side, because partner-side reporting is not subject to the same domestic accounting incentives.



China and the U.S.: Bilateral Mirror Gap
China-Reported Exports Minus U.S.-Reported Imports
% of Total Trade



The cumulative bilateral mirror gap, summed over 2018 through 2024, comes in at +1.3 percent —a headline that conceals as much as it reveals, as we discuss below. It is not consistent with VAT-refund fraud running anywhere near the scale required to explain a \$184 billion customs-BoP discrepancy. If China were systematically inflating its export numbers at customs to facilitate fraudulent refund claims, the partner-side import data should show the inflation; it does not.

The bilateral pair, however, conceals a structural break. From 2010 through 2019 the USA–CHN mirror gap averaged roughly +14 percent, with the U.S. consistently recording more imports from China than China reported as exports to the US. From 2020 forward the gap inverts to roughly –3.5 percent, with China reporting more exports to the US than the US records as imports from China.



The break is sharp, it lines up with 2020, and several plausible candidates could be driving it: Section 301 tariffs and the resulting valuation wedge between transactional and customs prices, COVID-era logistics distortions, FDI relocation that puts more of the final value-added outside Chinese customs, and ordinary measurement drift. Mirror data alone cannot separate these candidates, but the level shift is real, and it is worth a separate examination.

The bilateral story matters less, however, than what the mirror gap has done in aggregate across China's major trading partners over the same window in which the customs-BOP gap was opening up. A balanced panel of nine major partners with consistent Comtrade reporting in every year (U.S., Japan, Korea, the UK, the Netherlands, Italy, India, Mexico, and Malaysia), covering roughly \$640 billion of Chinese goods exports in 2024 shows the sum of mirror

1. 2. 3. 4. 5. 6. 7. 8. 9. 10. 11. 12. 13. 14. 15. 16. 17. 18. 19. 20. 21. 22. 23. 24. 25. 26. 27. 28. 29. 30. 31. 32. 33. 34. 35. 36. 37. 38. 39. 40. 41. 42. 43. 44. 45. 46. 47. 48. 49. 50. 51. 52. 53. 54. 55. 56. 57. 58. 59. 60. 61. 62. 63. 64. 65. 66. 67. 68. 69. 70. 71. 72. 73. 74. 75. 76. 77. 78. 79. 80. 81. 82. 83. 84. 85. 86. 87. 88. 89. 90. 91. 92. 93. 94. 95. 96. 97. 98. 99. 100.

customs-BOP gap were being driven by misreporting at China's customs interface—VAT fraud, tariff evasion, or anything else that systematically distorts bilateral flows—it should show up as a widening mirror gap, or at least a non-closing one.

That has a simple implication. Whatever is driving the divergence between the customs goods surplus and the SAFE goods surplus is invisible to partner customs. It is not “China's customs is over-reporting exports relative to what partners receive.” It is not “China's customs is under-reporting imports relative to what partners ship.” It is something internal to the SAFE construction of the goods balance.

This narrows the potential explanations considerably. The possibilities that survive the mirror test are: bonded-warehouse and factoryless-production accounting (China's official explanation), value-of-services-embedded-in-goods reclassification at the BOP boundary, transfer-pricing adjustments at the BOP level that customs does not make, and discretionary smoothing of the residual. The corroborating evidence has always been the fit between the reported current account residual and the foreign asset accumulation of China's state banks; that fit otherwise has no plausible mechanical explanation, and the mirror exercise foreclosing the customs side channels makes that bank flow correspondence harder, not easier, to dismiss as coincidence.



The first two are statistical artifacts; you would expect them to be relatively stable from quarter to quarter and concentrated in identifiable sectors. The third should leave fingerprints in the services or primary income account. The fourth, which earlier posts on this blog have flagged, is that SAFE is constructing the goods balance to keep the BOP residual error close to zero.

The mirror data does not directly demonstrate that fourth reading, but it is consistent with it in a way the other three are not, particularly given the quarterly volatility of the customs-BOP gap.



There is a temptation to read China's customs-BOP gap as a generic EM story about capital controls and managed FX, the kind of thing one might expect from any country with a similar policy mix. However, cross-country panel evidence on the customs-BOP gap shows that the larger systematic deviations come from multinational-residence reclassification (Ireland, Singapore, Luxembourg, sometimes the Netherlands), not from capital controls manipulation. China's case is distinctive; it is not a generic feature of managed FX with capital controls.

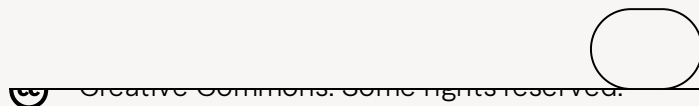
What does any of this mean for the underlying Chinese current account surplus? On its face, not much directly. Mirror data does not tell you where the gap is; it tells you what you can rule out. It forecloses the customs-misreporting channel as a quantitatively significant driver, which leaves the SAFE-side adjustment as the most important piece of the puzzle.

recent quarters (with the last big gap that still impacts the trailing 4 quarter sum back in q2 2025).

The case that the underlying current account surplus is meaningfully larger than the reported \$735 billion has been made on this blog before; the mirror exercise is a clean check that the customs side of the ledger is what it appears to be, and that the discrepancy lives elsewhere.

*The new methodology clearly shifts Apple's "in China" profit over to the goods portion of the balance of payments, which should have generated offsetting adjustments to either the services or the income balance.

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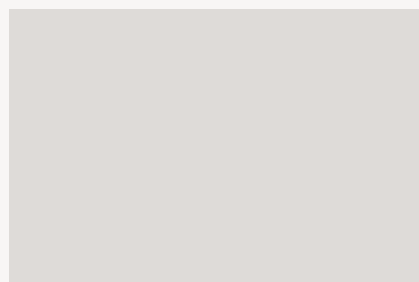
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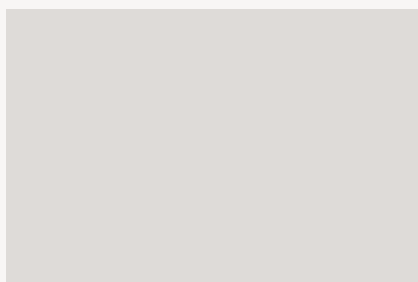
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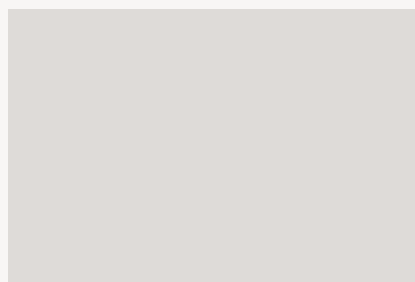
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July 3, 2026



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